



Qualification Programme Examination Panelists' Report

Module D – Taxation (December 2020 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

The case questions in Section A cover topics including the computation methodology of commercial building allowance ("CBA"), the profits tax implications of a change in the intention of holding a property in the context of the Inland Revenue Ordinance ("IRO") and precedent court case, the computation of a married couple's tax liability under joint assessment, and the Mainland individual income tax ("IIT") exposure of a Hong Kong resident under the relevant Mainland tax regulations and the double taxation arrangement ("DTA") between the Mainland and the HKSAR.

The overall performance of the candidates in this Section was satisfactory. The candidates did particularly well in the tax liability calculation under joint assessment and in explaining Mainland IIT exposure. However, candidates were weak in analysing the case background relating to the change in intention in holding the property, and most candidates failed to apply the relevant precedent court case and provisions in the IRO in advising on the profits tax implications of the disposal of the property.

Specific Comments

Question 1(a) – 11 marks

This question required candidates to analyse whether the CBA computation methodology adopted by the company in the case background is consistent with the relevant provisions in the IRO. The performance of the candidates in this question differed greatly, with some scoring very high marks and some performing poorly. While some candidates referred to the correct provision in the IRO (i.e., s.33A(2)), some of them made mistakes in counting the number of years in computing the CBA. Some candidates made irrelevant analyses on matters such as ss.16 and 17.

Question 1(b) – 4 marks

This question required candidates to analyse whether the cost of construction as suggested by the Inland Revenue Department ("IRD") and that as adopted by the company in computing CBA are appropriate. The candidates' performance in this question was unsatisfactory. Many candidates did not discuss the cost of construction as required by the question and instead discussed residue of expenditure. In particular,



most candidates failed to point out the relationship between cost of construction and half of the first assignment price. Most candidates also failed to mention that the burden of proof was on the taxpayer in justifying the basis adopted in ascertaining its tax position.

Question 2(a) – 4 marks

This question required candidates to analyse the impact of the disposal of a property (“Property X”) earlier this year on the long term intention of the company in holding another property (“Property Y”) originally agreed upon by the IRD. Overall performance in this question was poor. Some candidates failed to focus on determining if there was a change of intention in holding Property Y by analysing the case background. For those who were able to focus on discussing change of intention, most failed to produce a precise and concise analysis. Few pointed out the short period between disposal of Property X and the decision to dispose of Property Y. Some discussed irrelevant matters such as property tax assessment, capital expenditure deduction, etc.

Question 2(b) – 6 marks

This question required candidates to analyse the profits tax implications of the impact attributable to the company as discussed in Question 2(a), with reference to the relevant legal principles established by the precedent court case and provisions in the IRO. Similar to Question 2(a), candidates’ performance in this question was poor. Most candidates were unable to quote the *Sharkey v Wernher* case as well as s.15BA of the IRO, and therefore failed to analyse the profits tax implications correctly.

Question 3 – 17 marks

This question required candidates to compute the salaries tax liabilities of an individual and his spouse on the basis of making the most favourable election stipulated in the IRO. Candidates’ performance in this computational question was satisfactory. However, while joint assessment should have been used for the computation, some candidates used separate assessments instead, or personal assessment or time-apportionment basis, which were not applicable to the couple. Some failed to calculate the rental value of the accommodation correctly or failed to compare it with the ratable value. Some also made careless mistakes in the tax computation such as by using the wrong allowance amounts or progressive tax rates, etc.

Question 4(a) – 4 marks

This question required candidates to analyse the Mainland IIT exposure of an individual with respect to his income derived from the Mainland without considering the DTA between the Mainland and the HKSAR. Performance in this question was fair. Some of the candidates demonstrated a good understanding of the Mainland IIT law and provided detailed explanations. However, some candidates misunderstood the question requirement and answered the question based on the DTA. Some candidates discussed Hong Kong salaries tax implication, which was not required by the question.



Question 4(b) – 4 marks

This question required candidates to analyse whether the individual in Question 4(a) could be entitled to any preferential Mainland tax relief in the context of the DTA. Candidates' performance in this question was similar to that in Question 4(a). Most candidates correctly applied Article 14 of the DTA and were able to conclude that the individual should be subject to IIT since his remuneration was borne by the PRC subsidiary. However, some candidates incorrectly concluded that the individual could be exempted from IIT pursuant to Article 14 or simply quoted Article 14 without applying it to the case background.

(II) Section B – Essay/Short Questions

General Comments

The questions in this section covered a wide range of topics, including administration procedures under the IRO, professional and ethical standards, stamp duty on acquisitions of properties, and profits tax treatment and calculation. Some questions covered general tax knowledge and frequently encountered scenarios. A number of candidates scored satisfactory marks. However, some candidates did not demonstrate a solid foundation in their tax knowledge, which resulted in unsatisfactory performance in this section. Similar to prior examination sessions, candidates generally could properly address the questions on computation of tax liabilities. Yet, performance on qualitative analysis with reference to pragmatic circumstances was consistently below standard. Candidates should develop their arguments based on the relevant principles of the respective topics.

Specific Comments

Question 5(a) – 4 marks

This question required candidates to discuss the actions that should be taken by a taxpayer in the event that an estimated assessment was received as well as the elements of a valid objection. This was a straightforward question, and overall performance in this question was very good. Most candidates were able to achieve high and even full marks.

Question 5(b) – 4 marks

This question tested the candidates' basic knowledge on the position of an assessment after the objection period, i.e., assessments becoming final and conclusive under s.70 of the IRO. Generally, candidates' performance was unsatisfactory as most of the candidates gave answers beyond the scope of the question, such as by answering from the perspective of a possibly imposed penalty. Some of the candidates discussed late objections or holdover applications, which were irrelevant.



Question 6(a) – 6 marks

This question required candidates to demonstrate their knowledge of professional and ethical standards concerning a suitably qualified tax advisor. The candidates' performance was satisfactory as they were able to recall and correctly apply their knowledge to the scenario. Yet, some of the candidates simply copied the general principles from the learning pack without making reference to the particular facts of the scenario. Some of the candidates wrongly treated the scenario as an issue of error made in the return and advised the client to make a correction.

Question 6(b) – 5 marks

This was a straightforward question which required the candidates to recapitulate the action against the CIR's s.82A(4) notice and the requirements. Performance was generally satisfactory. A number of candidates were able to correctly state the action and documents required for a valid appeal against the notice of s.82A(4). Some of the candidates were confused with the action and documents required for lodging an objection against an assessment. Some of the candidates incorrectly identified the scenario as an issue of s.70A and advised reopening a final and conclusive assessment.

Question 7(a) – 9 marks

This question required the candidates to discuss how to charge Ad Valorem Duty ("AVD") for residential property and non-residential property under a single chargeable instrument though they were separable for sale and purchase. The general performance of the candidates was better than expected. Candidates were able to identify the crux of the scenario and provide relevant discussions and answers.

The candidates should have correctly identified the applicable rates for charging AVD, but some of them were unable to do so. Some of the candidates were unaware that the AVDs of residential property and non-residential property needed to be calculated separately by reference to their respective values and different nature and scales.

Question 7(b) – 5 marks

This question required the candidates to discuss the refund mechanism under the Stamp Duty Ordinance in respect of changing residential property. Generally, the candidates were able to identify the issue, but some of them did not have a clear understanding of the technical knowledge required to solve the problem. Some of the candidates mistakenly referred to "12 months" from the disposal of Property A to ascertain the eligibility of a refund. Not many candidates were able to compute the specified period relating to Property B and Property C correctly. Some candidates included buyer's stamp duty and special stamp duty in their answers, which were irrelevant.



Question 8(a)(i) – 5 marks

The candidates were required to demonstrate their knowledge to determine the source of royalty income. Most of the candidates were able to refer to DIPN No.49 and correctly applied the relevant test to ascertain the source of royalty income derived from intellectual property developed by the taxpayer itself.

A number of candidates in this question did not include in their answers the source principle under s.14 and the broad guiding principle, which were allocated marks. Some candidates incorrectly applied the deeming section under s.15(a) to determine the taxability of the royalty income in question.

Question 8(a)(ii) – 2 marks

This question required the candidate to discuss the tax deductibility of staff loan written-off. Performance in this question was satisfactory. Most of the candidates were able to refer to s.16(1)(d) when answering this question. Some candidates irrelevantly referenced the situation that the company had never taken any recovery action against the staff and therefore jumped to the conclusion that the amount written-off was non-deductible.

Question 8(b) – 10 marks

This was a typical question which required candidates to identify some typical tax adjustments and prepare a profits tax computation. Many candidates scored high marks, although some failed to complete the whole question. Many candidates failed to adjust the professional consultancy fee and staff loan written-off correctly. A number of candidates did not perform well in the computation of CBA and deduction under s.16F.

(III) Conclusion and Recommendation

Similar to prior years' sessions, a tendency for relatively good and poor performances in computational and analytical questions, respectively, persisted in this Module. Candidates should read the questions carefully in order to avoid confusion. For analytical questions allocated substantial marks, candidates should construct a comprehensive skeleton and develop their answers beginning with the basic principles which are generally allocated marks, particularly those well-established in the courts' judgments. Candidates should also manage time allocation properly, attempt all questions and avoid spending excessive time on copying substantial materials from their Learning Pack without effective analysis.